

in equity for the revocation of any contract.” (9 U.S.C. § 2.) The United States Supreme Court has described this provision as reflecting both a “liberal federal policy favoring arbitration,” and the “fundamental principle that arbitration is a matter of contract.” (*AT&T Mobility LLC v. Concepcion* (2011) 563 U.S. 333, 339.)

The FAA permits agreements to arbitrate to be invalidated by “generally applicable contract defenses, such as fraud, duress, or unconscionability.” (*Concepcion*, supra, 563 U.S. at p. 339.) When deciding whether a valid arbitration agreement exists, courts generally apply “ordinary state-law principles that govern the formation of contracts.” (*First Options of Chicago, Inc. v. Kaplan* (1995) 514 U.S. 938, 944.) “[T]he party resisting arbitration bears the burden of proving that the claims at issue are unsuitable for arbitration.” (*Green Tree Fin. Corp. v. Randolph* (2000) 531 U.S. 79, 91.)

On a motion to compel arbitration under the FAA, the court’s role is limited to deciding: “(1) whether there is an agreement to arbitrate between the parties; and (2) whether the agreement covers the dispute.” (*Brennan v. Opus Bank* (9th Cir. 2015) 796 F.3d 1125, 1130.) If these conditions are satisfied, the court is without discretion to deny the motion and must compel arbitration. (9 U.S.C. § 4; *Dean Witter Reynolds, Inc. v. Byrd* (1985) 470 U.S. 213, 218 [“By its terms, the [FAA] leaves no place for the exercise of discretion by a district court, but instead mandates that district courts shall direct the parties to proceed to arbitration.”].)

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1. Existence of Agreement to Arbitrate

A party moving to compel arbitration bears an initial burden of producing “prima facie evidence of a written agreement to arbitrate the controversy.” (*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165–166.) The moving party “can meet its initial burden by attaching to the [motion or] petition a copy of the arbitration agreement purporting to bear the [opposing party’s] signature.” (*Bannister v. Marinidence Opco, LLC* (2021) 64 Cal.App.5th 541; see also *Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1060 [holding same].) For this step, “it is not necessary to follow the normal procedures of document authentication.” (*Condee v. Longwood Management Corp.* (2001) 88 Cal.App.4th 215, 218.) If the moving party meets its initial prima facie burden and the opposing party does not dispute the existence of the arbitration agreement, then nothing more is required for the moving party to meet its burden of persuasion.

Warranty Booklet

Plaintiff, in opposition, contends that HMA’s reliance on the warranty booklet is defective because HMA failed to properly authenticate it. However, HMA, as the moving party, “is not required to authenticate an opposing party’s signature on an arbitration agreement as a preliminary matter” (*Ruiz v. Moss Bros Auto Group, Inc.* (2014) 232 Cal.App.4th

836, 846, italics omitted), and “the court is only required to make a finding of the agreement's existence, not an evidentiary determination of its validity.” (*Condee v. Longwood Management Corp.* (2001) 88 Cal.App.4th 215, 219). If the moving party meets its initial burden of production, the burden shifts to the party opposing arbitration to produce evidence challenging the authenticity of the agreement. (*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165.) If that burden is met, “the moving party must establish with admissible evidence a valid arbitration agreement between the parties.” (Ibid.)

Here, HMA meets its initial prima facie burden of establishing the existence of a written arbitration provision, in the Warranty.

In Opposition, Plaintiff does not dispute the existence of the arbitration provision in the vehicle’s written warranty or that he accepted the benefits of that agreement by presenting the vehicle for repair. Plaintiff also submits no evidence that he opted out of the agreement. *However*, Plaintiff declares that to the best of his memory, he was not provided with a copy of any Owner’s Handbook and Warranty Information booklet when he leased the Subject Vehicle and was never given any notice that it contained an arbitration provision or an opt-out provision. This motion is the first Plaintiff has heard about it. Plaintiff never signed an agreement to arbitrate nor did he ever consent to arbitration. It is undisputed that Plaintiff never signed an agreement to arbitrate claims between HMA and himself.

In Reply, HMA argues and presents evidence that in California, all vehicles sold at authorized Hyundai dealerships include a Owner’s Handbook. However, there is no evidence that Plaintiff received one in this instance. Thus, Defendant HMA has failed to establish a valid arbitration agreement between the parties.

Accordingly, the motion to compel arbitration based upon the warranty booklet is DENIED.

Bluelink Customer Services Agreement

HMA has failed to meet its burden to demonstrate the Arbitration Agreement in the Bluelink CSA covers all of Plaintiff’s claims in this action. While the Bluelink CSA Arbitration Agreement purports to cover any and all disputes between the parties regarding “[plaintiff’s] Vehicle”—the scope of an arbitration clause turns on whether the claims are “rooted” in the contractual relationship between the parties. (*Ahern v. Asset Management Consultants, Inc.* (2022) 74 Cal.App.5th 675, 692.) To be arbitrable, the subject claims must have their roots in the relationship between the parties that was created by the contract containing the arbitration provision. (*Id.* at pp. 692-693; *Rice v. Downs* (2016) 248 Cal.App.4th 175, 188.)

“[E]ven under a very broad arbitration provision, such as ‘any controversy or claim arising out of or relating to this agreement,’ ” the subject claims must “ ‘have their roots in the relationship between the parties which was created by the contract’ ” before they can be deemed to fall within the scope of the arbitration provision.” (*Rice, supra*, 248 Cal.App.4th at p. 188.)